

Your Company is making appreciable progress in high-value, future-facing categories, such as **Biological Extracts**, with the commencement of a US FDA-compliant, export-oriented, pharmacopoeia-standard **nicotine derivative** processing facility, serving customers in Europe, USA and South Korea. In addition, ITC's **medicinal and aromatic plant ecosystem** is developing high-active varieties and proprietary formulations, besides manufacturing high-purity extracts for domestic and global markets together with farmer training in best practices.

As we look ahead, ITC will continue to work towards shaping a more competitive, resilient and inclusive Agri Business, which is not only **creating new growth drivers but also contributing to enriching rural India, raising farmer incomes, fortifying food and livelihood security, and establishing globally trusted value chains.**

ITC: Proudly Indian Brands — Creating and Retaining Value in India

In a growing consumption-led economy, strong domestic brands assume strategic importance because they channel consumer aspiration into national value. Brands are vital **repositories of trust, quality, innovation and intellectual property**. When successful Indian brands win consumer preference at scale, they **retain larger value within the country**.

That is why **'Vocal for Local'** is not merely a sentiment; **it is a strategy to reinforce domestic capability, create and nurture brands that are born in India but made for the world** with impeccable quality and trust that can delight consumers globally.

Your Company's aspiration to be India's No. 1 FMCG player is anchored on this larger vision. Today, ITC's portfolio of over 30 world-class FMCG brands represents annual consumer spends of **nearly ₹37,000 crore** and reaches around **280 million households** while being exported to over **70 countries**. It is indeed difficult to find parallels globally of an enterprise that has launched so many large, successful and trusted home-grown brands in a relatively short period.

ITC's brands enrich everyday moments in Indian homes — from **Sunfeast** biscuits in the morning, to breakfast choices of **Aashirvaad Besan chillas** and **Yoga Bar** cereals, to **Fiamo** bathing experiences, **Mangaldeep** devotional moments

and **Classmate's** joy of learning, from baby and pet-safe clean homes with **Nimyle** to meals with **24 Mantra Organic**, **Aashirvaad** staples and **Sunrise** spices, to fun times with **Bingo!**, **ITC Master Chef** and **Prasuma** snacks, mini meals with **YiPee!** and ending the day with **Fabelle** for luxurious indulgence and **Pranah** for relaxation.

The Indian FMCG market is poised for significant expansion, with your Company's addressable market estimated at around ₹8 trillion by 2035, pointing to the immense headroom to grow. The consumer landscape in India is also evolving rapidly. The rise of Aspirational Bharat, premiumisation, Gen Z and Gen Alpha consumers, expanding digital access and the growth

of quick commerce are reshaping categories, channels and expectations. Today's **'maximiser consumer'** simultaneously seeks taste and nutrition, convenience and trust, indulgence and wellness, value as well as premium experiences.

In line with the **ITC Next strategy**, your Company is making rapid progress in not only scaling its core power brands but developing a future-ready portfolio that is constantly alive to evolving consumer needs. A critical foundation is ITC's **AI-led consumer insight ecosystem**, that drives **targeted micro-segmentation** to help craft a pipeline of differentiated offerings — be it by life stages, lifestyle, channel, occasion, shelf-life requirement and health need, among others. This vibrant portfolio has been enriched with new acquisitions in areas of promise that are already clocking an ARR of around ₹1,350 crore, effectively synergising the entrepreneurial energy of start-ups with ITC's scale and institutional strengths. These differentiated products reach millions of homes through your Company's smart omni-channel network with unique multidimensional capabilities across ambient, chilled, frozen and perishable supply chains.

India today faces the twin challenges of adequate nutrition and rising lifestyle-related health concerns. Aligned to ITC's **'Help India Eat Better'** Mission, a **Good-for-You** portfolio is being built to address **deficiencies in protein, fibre, micronutrients and gut health**. These include the **Yoga Bar protein range** for Gen Z, **Sunfeast Breakfast protein-rich shakes** for early jobbers and **Aashirvaad Protein Atta** for the entire family. The **Right Shift** range for the **40-plus cohort** is fortified with fibre, protein and micronutrients. **24 Mantra Organic** provides trusted organic products, while **Aashirvaad Millet Flour**, **Multigrain Flour**, **Sunfeast Farmlite biscuits**, and **Yoga Bar** high-fibre breakfast cereals serve the growing need for better fibre intake and gut health.

Leveraging emerging spaces such as wellness and naturals, your Company's Personal Care portfolio reflects the convergence of nature, and science. **Nimyle** brings

the goodness of Neem into homecare, while **Savlon** continues to expand its trusted hygiene equity across personal wash, germ protection, surface disinfection and medicated skincare. The acquisition of **Mother Sparsh** marks ITC's strategic presence in premium natural baby care, rooted

in traditional Indian knowledge for new-age mothers seeking specialised solutions. Building on **Fiamo's industry-first gel bar technology**, the new **Japanese Hokkaido Milk range**, which is being patented, reflects sensorial innovation that promises non-sticky moisturised skin.

Innovation is at the heart of your Company's future-ready portfolio, which is powered by **ITC's Life Sciences and Technology Centre**, with over 400 world-class scientists. **What sets the Centre apart is not just its deep research capabilities and future-ready platforms, but its focus on end-to-end value chains, from seed to fork and tree to paper, enabling your Company to craft winning products of impeccable quality.**

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